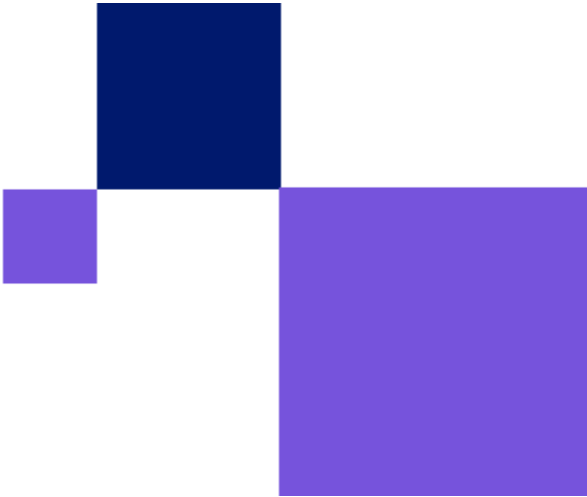




Foundations of Financial Accounting (ACC107)

Lecture 7

Inventory and final financial statements
Chapter 17 & Chapter 18.



Learning outcomes

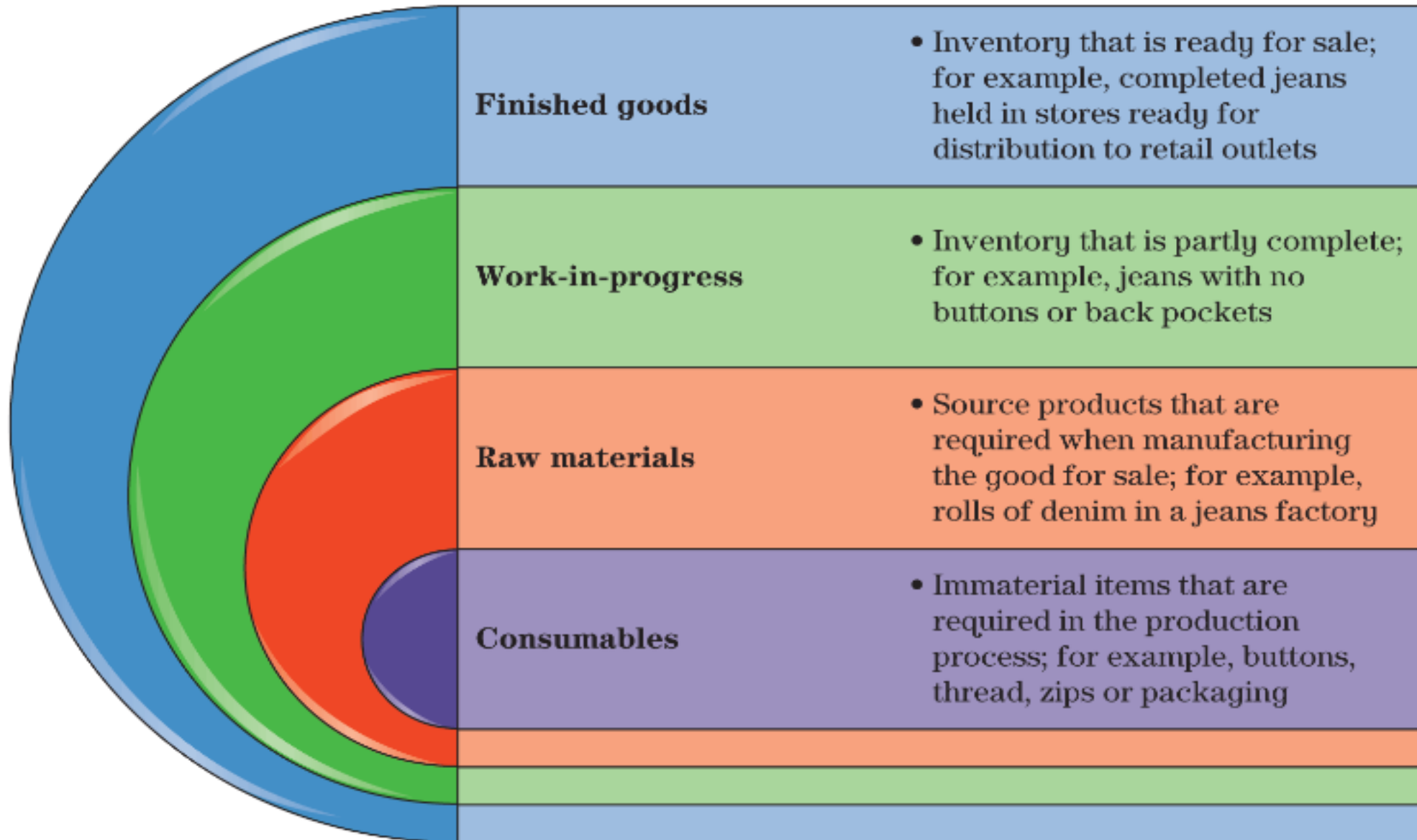
- Describe the different types of inventory;
- Describe the periodic and perpetual inventory systems (* *See Lecture 4*);
- Discuss the methods of valuation of inventory including its impact on the gross profit;
- Describe the main methods of **identifying the cost of fungible inventories** and demonstrate their application in the valuation of inventories and the cost of sales
- Understand accounting adjustments and how they affect the Statement of Profit or Loss and Statement of Financial Position
- Prepare a statement of Profit or Loss (income statement) and a statement of financial position incorporating adjustments.

Categories of inventories in retail entities



- Goods for sale – purchase of completed products that will be sold by the business. Inventory is the unsold amount at a point in time.
- Consumable items – immaterial items that are required for sales, such as coat hangers, plastic bags, etc.

Categories of inventories in manufacturing entities



Monitoring Inventory - Systems

Periodic inventory control system

- The number of items in inventory are physically checked periodically (monthly, quarterly, yearly) and orders for more items are made in light of expected demand relative to the number of items in stores
- The review period is usually fixed and hence high levels of inventory are typically held
- In many instances the business closes for the counts, or it is performed overnight

Perpetual inventory control system

- Constant monitoring of inventory levels and frequent reorders
- Computerized control system usually with point of sale technology which records inventory receipts and issues from stores
- Physical counts take place continuously, are organized and focus on rotated areas (for example, in a large supermarket, baby products may be covered in one day, vegetables the next, cereals the next, etc.)

Note (See Lecture 4 ppt slides for the accounting treatment under the different inventory systems)

- **Other than Chapter 17**, the textbook assumes a “periodic inventory system”.
- In chapter 17 and this lecture **we will also look at how to create a perpetual inventory record** when valuing inventory using **FIFO and AVCO**

The cost of inventories

- ‘the **cost of inventories** shall comprise all **costs of purchase**, **costs of conversion** and **other costs** incurred in **bringing inventories to their present location and condition**’ (IAS 2)
 - ***Cost of inventories** should include **all costs to make them to be ready to be sold.***

The cost of inventories – Purchase Costs

Purchase costs include:

- Invoice price, **net of** trade discount and VAT (VAT is recoverable).
- Import duties (if sourced in a foreign country) and other taxes that are not recoverable.
- Transport costs (delivery costs).
- Handling costs.
- Other costs that are directly attributable to obtaining the inventory.

Snow Days			Snow Days	
Unit 9			Invoice	
Moorshead Business Park			Invoice No:	269
Leeds	LS3 5FD		Invoice Date	21/05/X8
Love Outdoors Ltd			Order No:	56
39 Straight Street, Halifax HX6 7YA			Account Ref:	OL45
Quantity	Description	Code	Unit Price	Net
200	15 x D ring karabiners	BB597	24.75	£4,950.00
Bank Details:			Total Net Amount	£4,950.00
	Sort Code: 20 56 78		Trade Discount (5%)	£247.50
	Account: 12567893		Net Amount	£4,702.50
			VAT (20%)	£940.50
			Invoice Total	£5,643.00
Payment Terms: Settlement is due within 30 days of the invoice date				

The cost of inventories - Costs of Conversion

- **Cost of conversion** include costs **directly attributable** to the units of production (direct costs)
- **Costs of conversion** also include a systematic **allocation of fixed and variable production overheads** that are incurred in converting materials into finished goods (indirect costs)

Direct Costs
• Direct material • Direct labour

Indirect costs: <u>Fixed production overheads</u> (remain relatively constant regardless of production quantity)
• Depreciation of building • Building maintenance • Factory rent and rates • Factory administration costs

Indirect costs: <u>Variable production overheads</u> (vary with production volume)
• Indirect material • Indirect labour

Inventory valuation (1/2)

Valued at **the lower of** cost and **net realisable value (NRV)** (*IASB, IAS 2, 2018*)

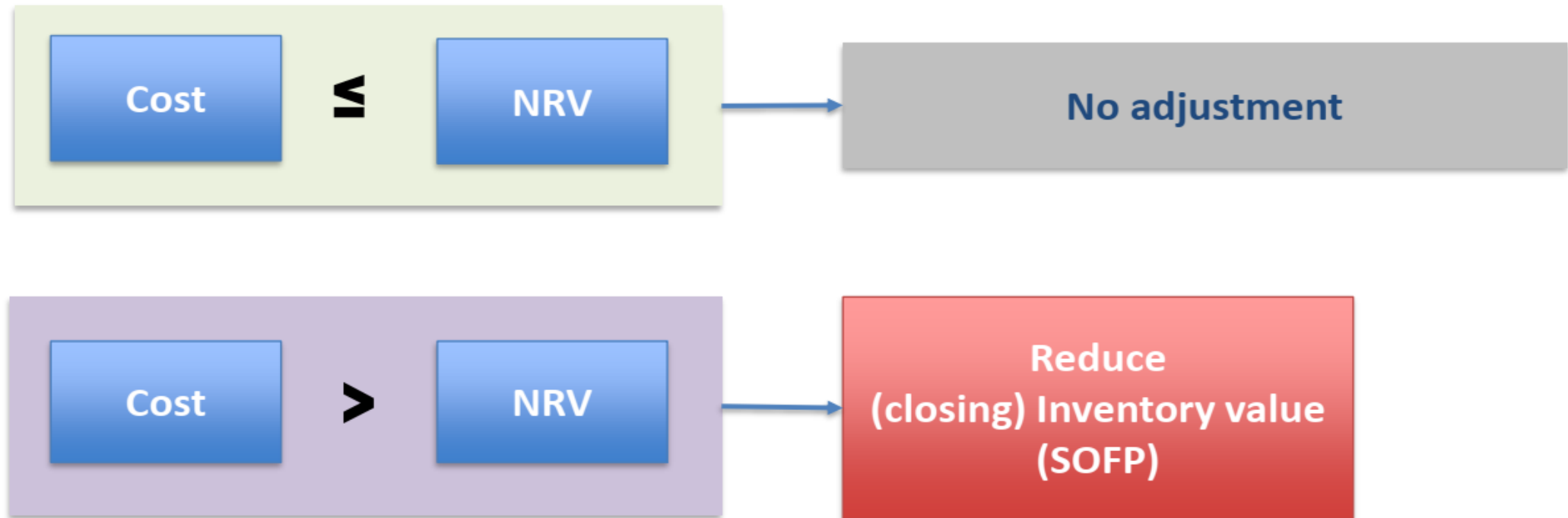
- Another application of **'Prudence'** concept (exercise of caution when making judgements).

$$\text{NRV} = \text{Estimated selling price} - \text{Estimated Selling costs}^*$$

**The estimated selling costs would include the estimated costs of completion and the estimated costs necessary to make the sale e.g. marketing, selling and distribution costs*

Inventory valuation (2/2)

Compare the **cost** of inventories and their **NRV**



Real world example of Inventory Categories and Valuation – Unilever

-Extract from Unilever's 2023 Annual report

Inventories are valued at the lower of weighted average cost and net realisable value. Cost comprises direct costs and, where appropriate, a proportion of attributable production overheads. Net realisable value is the estimated selling price less the estimated costs necessary to make the sale.

	€ million 2023	€ million 2022
Inventories		
Raw materials and consumables	1,815	2,062
Finished goods and goods for resale	3,662	4,248
Total inventories	5,477	6,310
Provision for inventories	(358)	(379)
	5,119	5,931



Worked Example 17.1

Martin is a clothes retailer. At the year end his inventory was valued at its cost price of £21,560. Included in this inventory is a line of clothing which is no longer in fashion. The inventory cost £5,600. Martin is sure that this inventory can be sold at 80% of its cost price. It will cost £200 to market the line.

Required

Calculate the value of inventory that should appear in Martin's financial statements.

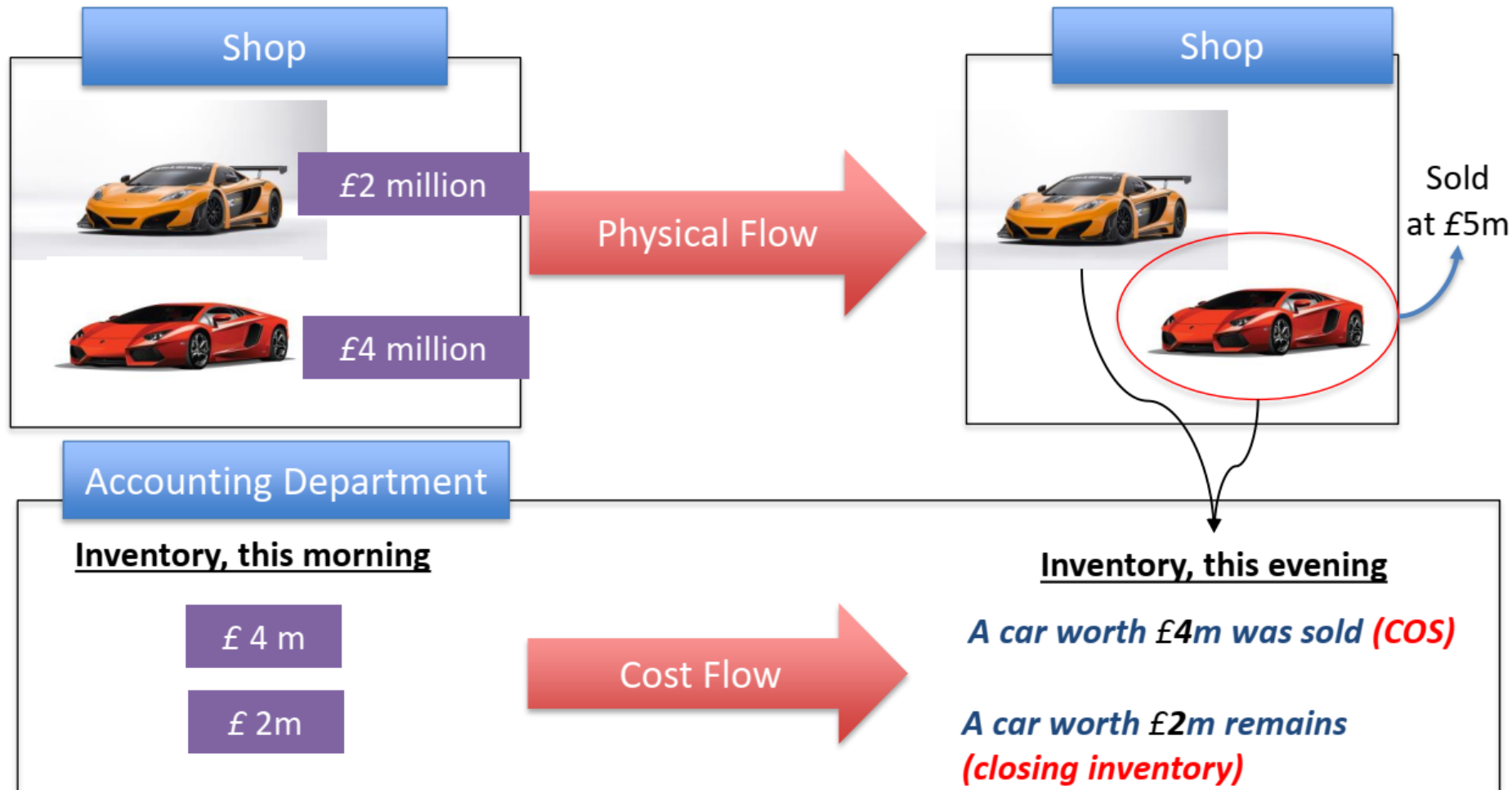
Worked Example 17.1 - Solution

- The £5,600 needs to be **written down** to its **NRV**, which is its **sale value** less any **costs of sale**.
 - $£5,600 \times 80\% = £4,480$ less $£200 = £4,280$.
 - This amounts to a total reduction of $£1,320$ ($£5,600 - £4,280$).
- Therefore, the inventory will appear in the financial statements of Martin valued at $£20,240$ ($£21,560 - £1,320$).

Movement of Inventory - Specific-Identification – Example: Luxury goods

Specific identification method is suitable for luxurious products **with high unit costs**.

(* *Physical flow = cost flow*)



Cost flow assumption - Fungible inventory (1/2)

- **What if** the products are substantially **indistinguishable** and the **unit cost is cheap**.
 - **Fungible inventory**
 - Calculate exact unit cost would be **unrealistic** and too **costly**.
 - It is necessary to make an **ASSUMPTION** about the **flow** of items in **inventory**.

Example

We **bought** coffee beans in two batches. **1000 kgs** **each time**. **First batch** was £5 per kg. **Second** was £6 per kg. We have only **200 kg left** but we don't know which batch this comes from.

Problem: How do we value the remaining ones?



Cost flow assumption - Fungible inventory (2/2)

Dairy Department

Inventory, this morning
Total 1,400 units



Inventory, this evening
Sold: 1,200
Unsold: 200

Accounting Department

Opening Inventory: $100 \times \text{£}4$

Purchase invoice (#1) : $600 \times \text{£}4.5$
Purchase invoice (#2): $700 \times \text{£}5.0$

Which unit cost?
£4?, £4.5?, or £5?

Cost of Sales =
 $1,200 \text{ sold} \times \text{Unit cost ?}$

Closing Inventory =
 $200 \times \text{Unit cost ?}$

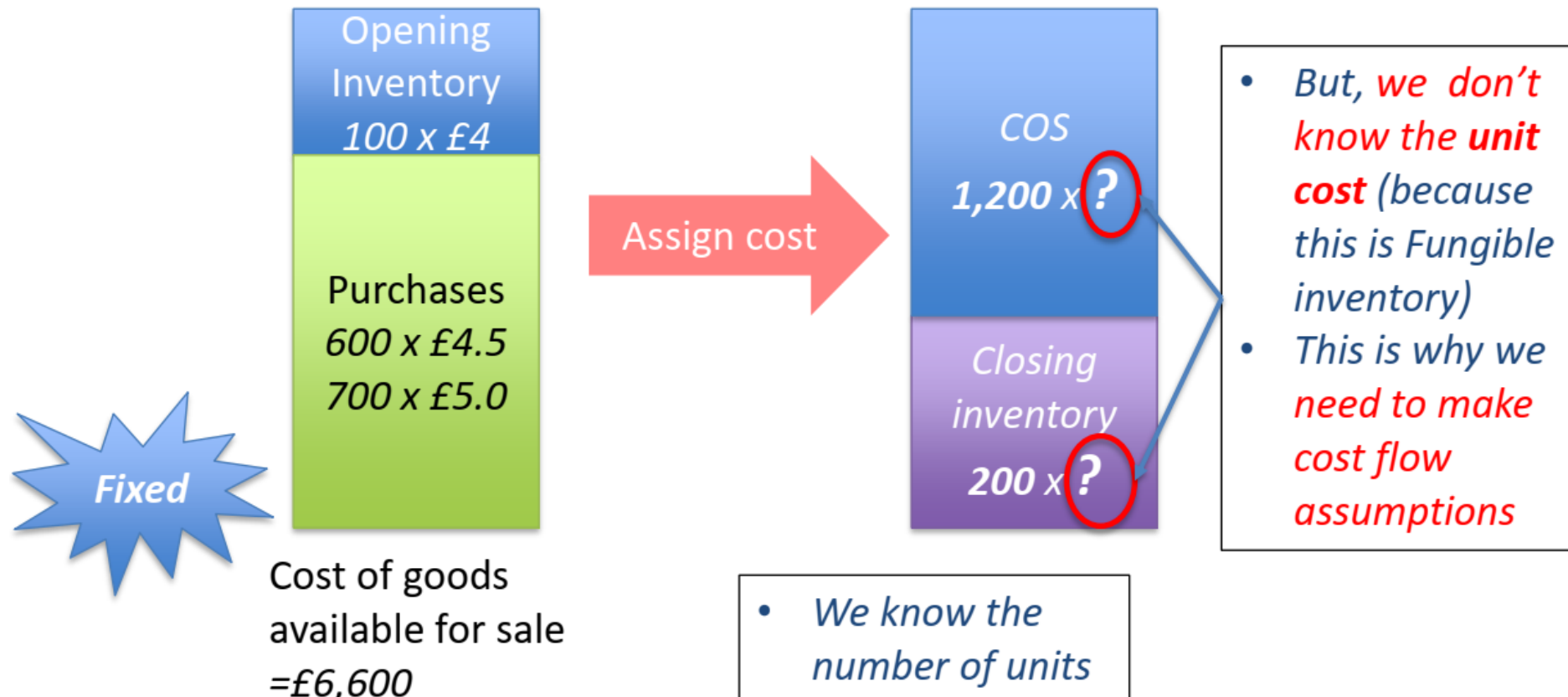
Methods of identifying the cost of inventories

If inventory was bought in batches and we can't determine exactly which items of inventory remain (and thus the purchase cost). IAS allows us to approximate using one of 2 methods:

- **First in, first out (FIFO)**
- **Weighted average (AVCO)**
- *Last in, first out (LIFO)**
 - *Note: IAS 2 does not allow LIFO method. Thus, this lecture doesn't introduce LIFO method (although the textbook explains this)*

Cost flow assumption - Example

- Note: **FIFO** and **AVCO** are based on **Cost flow Assumptions**, and **NOT** on the **exact physical flow of goods**
 - Accountants need to make an assumption to determine the **COS** and the **closing value of inventory**.



First in, first out method (FIFO)

- The finished goods sold are those which have been in inventories for the longest time. The **inventory** is thus composed of the **most recent purchases**.
 - Assume that the oldest inventory is sold first.
 - *Cost of sales* consists of the **oldest inventory**
 - *(Closing) inventory* consists of the **newest inventory**.

Weighted average method (AVCO)

- The finished goods sold and the inventories comprise a **mixture of** each batch of **purchases (or production)**.
- Determine the unit cost:

1. Compute the **New unit cost** whenever there is a **NEW Purchase**

2. **For each sale:**

COS = Units sold **x average unit cost prior to sale**

Remaining inventory = Remaining units **x average unit cost prior to sale**

Worked Example 17.2

P. Easton commenced business on 1 January 20X9 as a dealer in scrap iron. The following purchases and sales were made during the first six months of 20X9:

- Jan *Purchased* 40 tonnes at £5 per tonne
- Feb *Purchased* 50 tonnes at £6 per tonne
- Mar *Sold* 30 tonnes at £10 per tonne
- Apr *Purchased* 70 tonnes at £7 per tonne
- May *Sold* 80 tonnes at £15 per tonne

Required

- Prepare a perpetual inventory record of the quantities and values of goods purchased, sold and inventory; and
- Prepare a statement of P/L showing the gross profit for the six months to 30 June 20X9.

Worked Example 17.2 – FIFO (1/2)

Based on **FIFO** assumption:

Date	Purchases			Cost of sales			Balance in inventory		
	Units	Price	Value	Units	Price	Value	Units	Price	Value
Jan	40	5	200				40	5	200
Feb	50	6	300				40	5	200
							50	6	300
							90		500
Mar				30	5	150	10	5	50
							50	6	300
							60		350
Apr	70	7	490				10	5	50
							50	6	300
							70	7	490
							130		840
May				10	5	50			
				50	6	300			
				20	7	140	50	7	350
				80		490			
Totals	160		990	110		640	50		350

**The old ones
were sold first*

**The newest ones*

Fixed

Worked Example 17.2 – FIFO (2/2)

P. Easton		
<i>Statement of performance for the six months ended 30 June 20X9</i>		
	£	£
Sales revenue: 30 tonnes @ £10	300	
< 80 tonnes @ £15	<u>1,200</u>	1,500
Less: Cost of sales –		
Purchases	<u>990</u>	
Less: Inventories at 30 June 20X9	<u>350</u>	<u>640</u>
Gross profit		<u>860</u>



(50 x 7 =)

- Based on **FIFO**, we find the unit cost of **7** for the inventory.

Worked Example 17.2 –AVCO (1/2)

Based on **AVCO assumption**:

Date	Purchases			Cost of sales			Balance in inventory		
	Units	Price	Value	Units	Price	Value	Units	Price	Value
Jan	40	5	200				40	5.000	200
Feb	50	6	300				90	5.556 ¹	500
Mar				30	5.556	167	60	5.556	333
Apr	70	7	490				130	6.331 ²	823
May				80	6.331	506	50	6.331	317
Totals	<u>160</u>		<u>990</u>	<u>110</u>		<u>673</u>	<u>50</u>		<u>317</u>

- Calculate **New average cost** whenever there is a **NEW purchase**.
 ✓ **New average cost** = *total purchase cost / total number of units*
- **Workings for weighted average cost:**
 1. February = £500 ÷ 90 units = £5.556
 2. April = £823 ÷ 130 units = £6.331

Worked Example 17.2 –AVCO (2/2)

P. Easton		
<i>Statement of Profit or Loss for the six months ended 30 June 20X9</i>		
	£	£
Sales revenue		1,500
<i>Less: Cost of sales</i>		
Purchases		
<i>Less: Inventories at 30 June 20X9</i>		
Gross profit		



990

(50 x 6.331 =)

317

673

827

- Based on **AVCO**, we find the unit cost of **6.331** for the inventory.

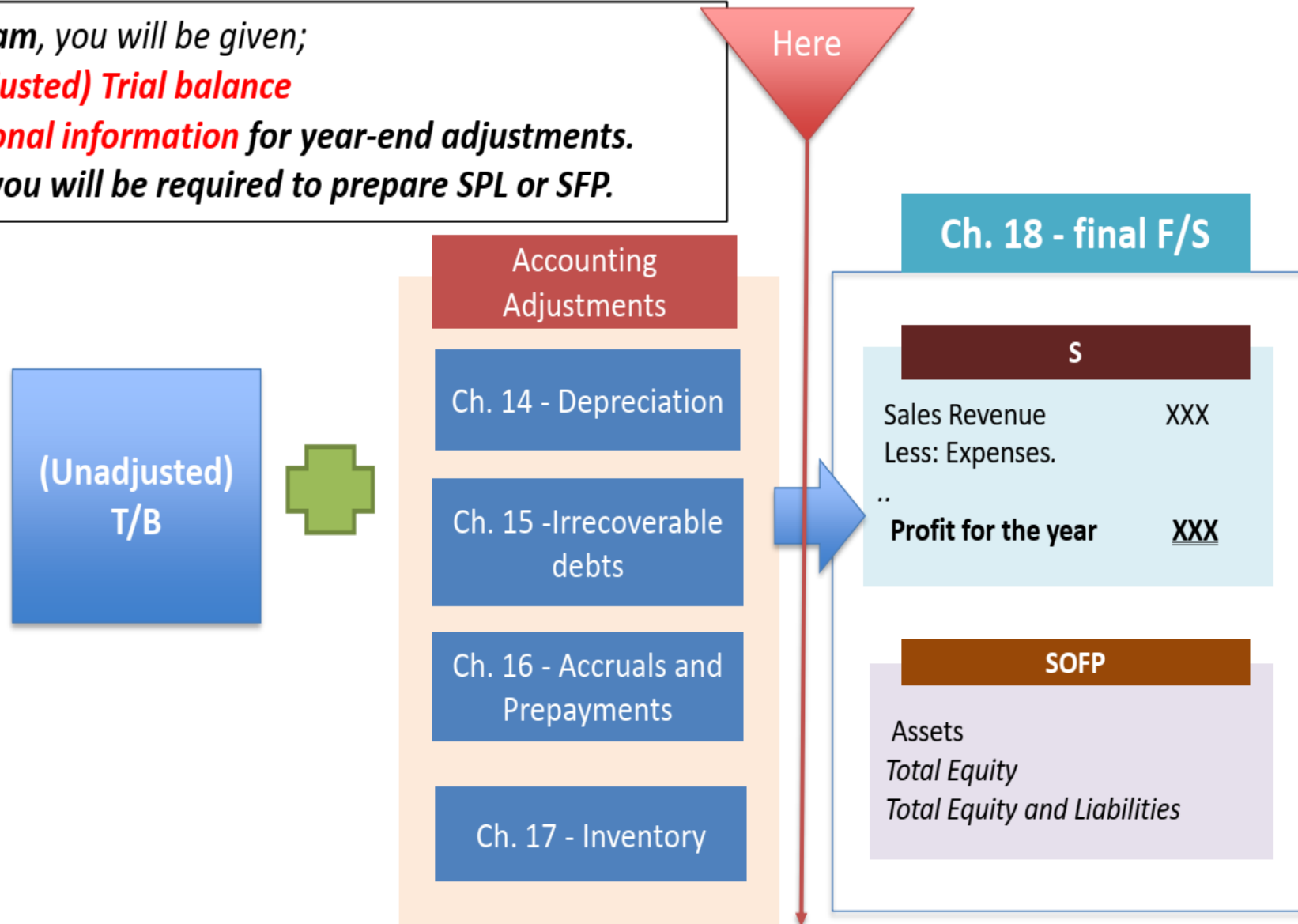
Lecture Part 2

Financial statements (with adjustments)

Recap – where you are now

In the Exam, you will be given;

- 1. (Unadjusted) Trial balance**
- 2. Additional information for year-end adjustments.**
- 3. Then, you will be required to prepare SPL or SFP.**



Review of the major year-end accounting adjustments

- Inventories of goods for resale (L4 & L7).
- Provisions for depreciation (L5).
- Allowance for irrecoverable debts (L6).
- Accruals and prepayments (L6).

Worked Example 18.1

- T. King has an accounting year ending on 30 April. The following **trial balance** was prepared for the year ended 30 April 20X9:

	<i>Debit</i>	<i>Credit</i>
	£	£
Capital		59,640
Drawings	7,600	
Bank overdraft		1,540
Cash	1,170	
Plant and machinery	87,000	
Provision for depreciation on plant		27,000
Sales revenue		68,200
Purchases	42,160	
Trade receivables	15,200	
Trade payables		12,700
Allowance for irrecoverable debts		890
Irrecoverable debts	610	
Rent	4,200	
Light and heat	3,700	
Stationery	2,430	
Inventories	5,900	
	<u>169,970</u>	<u>169,970</u>

Worked Example 18.1 – Additional Information

1. Plant and machinery is depreciated using the reducing balance method at a rate of 10 per cent per annum.
2. The allowance for irrecoverable debts at 30 April 20X9 should be 5 per cent of trade receivables.
3. There is an accrual at 30 April 20X9 in respect of gas amounting to £580, and rent prepaid of £600.
4. Inventory at 30 April 20X9 was £7,220.

Required.

You are required to prepare final financial statements at 30 April 20X9 in vertical form.

Worked example 18.1 – adjustment (1/2)

- One item of additional information usually produces double entries which would **affect ONE P/L item** and **ONE SOFP item** (except for error correction)
 - **TIPs:** This double-entry approach is **NOT required** Take the following approach as a suggestion.

1. Depreciation.

- Working: Depreciation = $10\% \times (£87,000 - £27,000) = £6,000$

Dr.	Depreciation exp. (P/L)	£6,000	
Cr.	Provision for Depn.		£6,000

Worked example 18.1 – adjustment (2/2)

2. Allowance for irrecoverable debts.

- *Working:* $(5\% \times £15,200) - £890 = £130$ decrease.

Dr.	Allowance for irrecoverable debts (SOFP)	£130	
Cr.	P/L a/c (income)		£130

3. Accruals and prepayments

Dr.	Light and Heat (gas- accruals, P/L a/c)	£580	
Cr.	Accruals (current liability, SOFP)		£580

Dr.	Prepayments (current asset, rent, SOFP)	£600	
Cr.	Rent (reversal of expense, P/L a/c)		£600

Worked example 18.1 –SPL (1/4)

1. Unadjusted T/B as per Question (Given)

	Debit	Credit
	£	£
Capital		59,640
Drawings	7,600	
Bank overdraft		1,540
Cash	1,170	
Plant and machinery	87,000	
Provision for depreciation on plant		27,000
Sales revenue		68,200
Purchases	42,160	
Trade receivables	15,200	
Trade payables		12,700
Allowance for irrecoverable debts		890
Irrecoverable debts	610	
Rent	4,200	
Light and heat	3,700	
Stationery	2,430	
Inventories	5,900	
	<u>169,970</u>	<u>169,970</u>



3. (Final) SPL

<i>T. King: Statement of performance for the year ended 30 April 20X9</i>		
	£	£
Sales revenue		68,200
Less: Cost of sales:		
Inventories at 1 May 20X8	5,900	
Add: Purchases	<u>42,160</u>	
	48,060	
Less: Inventories at 30 April 20X9	<u>7,220</u>	40,840
Gross profit		27,360
Less: Expenditure		
Rent	3,600	
Reduction in the allowance for irrecoverable debts	(130)	
Light and heat	4,280	
Stationery	2,430	
Irrecoverable debts	610	
Depreciation on plant	<u>6,000</u>	16,790
Profit for the period		<u>10,570</u>

2. Year-end adjustments (all double-entries)

1.	Dr.	Depreciation exp. (P/L)	6,000	
		Cr.	Provision for Depn.	6,000
2.	Dr.	Allowance for irrecoverable debts (SOFP)	130	
		Cr.	P/L a/c (income)	130
3.	Dr.	Light and Heat (gas- accruals, P/L a/c)	580	
		Cr.	Accruals (current liability, SOFP)	580
	Dr.	Prepayments (current asset, rent, SOFP)	600	
		Cr.	Rent (reversal of expense, P/L a/c)	600
4.		Inventory adjustment....		
				

*** Make sure that you reflect all P/L adjustment**



1. Unadjusted T/B as per Question (Given)



t (current asset, rent, SOFP)	600	
sal of expense, P/L a/c)		600
djustment....		

For example, Light & Heat
3,700 (t/b) + 580 (accruals)=
4,280 (SPL)

Worked example 18.1 –SPL (3/4)

1. Unadjusted T/B as per Question (Given)

	Debit	Credit
	£	£
Capital		59,640
Drawings	7,600	
Bank overdraft		1,540
Cash	1,170	
Plant and machinery	87,000	
Provision for depreciation on plant		27,000
Sales revenue		68,200
Purchases	42,160	
Trade receivables	15,200	
Trade payables		12,700
Allowance for irrecoverable debts		890
Irrecoverable debts	610	
Rent	4,200	
Light and heat	3,700	
Stationery	2,430	
Inventories	5,900	
	<u>169,970</u>	<u>169,970</u>



3. (Final) SPL

T. King: Statement of performance for the year ended 30 April 20X9		
	£	£
Sales revenue		68,200
Less: Cost of sales:		
Inventories at 1 May 20X8	5,900	
Add: Purchases	<u>42,160</u>	
	48,060	
Less: Inventories at 30 April 20X9	<u>7,220</u>	<u>40,840</u>
Gross profit		27,360
Less: Expenditure		
Rent	3,600	
Reduction in the allowance for irrecoverable debts	(130)	
Light and heat	4,280	
Stationery	2,430	
Irrecoverable debts	610	
Depreciation on plant	<u>6,000</u>	<u>16,790</u>
Profit for the period		<u>10,570</u>

2. Year-end adjustments (all double-entries)

1.	Dr.	Depreciation exp. (P/L)	6,000	
	Cr.	Provision for Depn.		6,000
2.	Dr.	Allowance for irrecoverable debts (SOFP)	130	
	Cr.	P/L a/c (income)		130
3.	Dr.	Light and Heat (gas- accruals, P/L a/c)	580	
	Cr.	Accruals (current liability, SOFP)		580
	Dr.	Prepayments (current asset, rent, SOFP)	600	
	Cr.	Rent (reversal of expense, P/L a/c)		600
4.		Inventory adjustments...		
				

1. Check if the opening inventory in t/b (5,900) & purchases (42,100) were transferred to COS.
2. Check if the closing inventory (7,220) was deducted from COS.

Worked example 18.1 –SPL (4/4)

**Final Statement of Profit or Loss for the year ended 30 April 20X9*

<i>T. King: Statement of performance for the year ended 30 April 20X9</i>		
	£	£
Sales revenue		68,200
<i>Less: Cost of sales:</i>		
Inventories at 1 May 20X8	5,900	
<i>Add: Purchases</i>	<u>42,160</u>	
	48,060	
<i>Less: Inventories at 30 April 20X9</i>	<u>7,220</u>	<u>40,840</u>
Gross profit		27,360
<i>Less: Expenditure</i>		
Rent	3,600	
Reduction in the allowance for irrecoverable debts	(130)	
Light and heat	4,280	
Stationery	2,430	
Irrecoverable debts	610	
Depreciation on plant	6,000	16,790
Profit for the period		<u><u>10,570</u></u>

** Now, move on to SOFP*

Worked example 18.1 –SOF P (1/3)

1. Unadjusted T/B as per Question (Given)

	Debit £	Credit £
Capital		59,640
Drawings	7,600	
Bank overdraft		1,540
Cash	1,170	
Plant and machinery	87,000	
Provision for depreciation on plant		27,000
Sales revenue		68,200
Purchases	42,160	
Trade receivables	15,200	
Trade payables		12,700
Allowance for irrecoverable debts		800
Irrecoverable debts	610	
Rent	4,200	
Light and heat	3,700	
Stationery	2,430	
Inventories	5,900	
	<u>169,970</u>	<u>169,970</u>



3. (Final) SOFP

T. King: Statement of financial position as at 30 April 20X9			
ASSETS	£	£	£
<i>Non-current assets</i>	Cost	Acc. Depn	WDV
Plant and machinery	<u>87,000</u>	<u>33,000</u>	54,000
<i>Current assets</i>			
Inventories			7,220
Trade receivables		15,200	
Less: Allowance for irrecoverable debts		<u>760</u>	14,440
Prepayments			600
Cash			<u>1,170</u>
			<u>23,430</u>
Total assets			<u>77,430</u>
OWNER'S CAPITAL AND LIABILITIES			
<i>Owner's capital</i>			
Opening balance			59,640
Add: Net profit			<u>10,570</u>
			70,210
Less: Drawings			<u>7,600</u>
Closing balance			<u>62,610</u>
<i>Current liabilities</i>			
Bank overdraft			1,540
Trade payables			12,700
Accruals			<u>580</u>
Total current liabilities			<u>14,820</u>
Total capital and liabilities			<u>77,430</u>

2. Year-end adjustments (all double-entries)

1 Dr.	Depreciation exp. (P/L)	-6,000	
Cr.	Provision for Depn.		6,000
2 Dr.	Allowance for irrecoverable debts (SOF P)	130	
Cr.	P/L a/c (income)		-130
3 Dr.	Light and Heat (gas accruals, P/L a/c)	-580	
Cr.	Accruals (current liability, SOFP)		580
Dr.	Prepayments (current asset, rent, SOFP)	600	
Cr.	Rent (reversal of expense, P/L a/c)		-600
4	Inventory adjustments...		
	...		

1. SPL items were already deleted
2. **Reflect SOFP item**
For example, Provision for Depn.
= 27,000 (as per t/b) + 6,000
= **33,000**

Worked example 18.1 –SOFP (2/3)

1. Unadjusted T/B as per Question

(Given)

	Debit	Credit
	£	£
Capital		59,640
Drawings	7,600	
Bank overdraft		1,540
Cash	1,170	
Plant and machinery	87,000	
Provision for depreciation on plant		27,000
Sales revenue		68,200
Purchases	42,160	
Trade receivables	15,200	
Trade payables		12,700
Allowance for irrecoverable debts		800
Irrecoverable debts	610	
Rent	4,200	
Light and heat	3,700	
Stationery	2,430	
Inventories	5,900	
	<u>169,970</u>	<u>169,970</u>



2. Year-end adjustments (all double-entries)

1 Dr.	Depreciation exp. (P/L)	-6,000	
	Cr. Provision for Depn.		-6,000
2 Dr.	Allowance for irrecoverable debts (SOFP)	130	
	Cr. P/L a/c (income)		-130
3 Dr.	Light and Heat (gas-accruals, P/L a/c)	-580	
	Cr. Accruals (current liability, SOFP)		580
	Dr. Prepayments (current asset, rent, SOFP)	600	
	Cr. Rent (reversal of expense, P/L a/c)		-600
4	Inventory adjustments...		
			

3. (Final) SOFP

T. King: Statement of financial position as at 30 April 20X9			
ASSETS	£	£	£
<i>Non-current assets</i>	Cost	Acc. Depn	WDV
Plant and machinery	<u>87,000</u>	<u>33,000</u>	<u>54,000</u>
<i>Current assets</i>			
Inventories			<u>7,220</u>
Trade receivables		15,200	
Less: Allowance for irrecoverable debts		<u>760</u>	14,440
Prepayments			600
Cash			<u>1,170</u>
			<u>23,430</u>
Total assets			<u>77,430</u>
OWNER'S CAPITAL AND LIABILITIES			
<i>Owner's capital</i>			
Opening balance			59,640
Add: Net profit			<u>10,570</u>
			70,210
Less: Drawings			<u>7,600</u>
Closing balance			<u>62,610</u>
<i>Current liabilities</i>			
Bank overdraft			1,540
Trade payables			12,700
Accruals			<u>580</u>
Total current liabilities			<u>14,820</u>
Total capital and liabilities			<u>77,430</u>

Check if inventory in the SOFP is replaced with the closing value (7,220)

Worked example 18.1 –SOFP (3/3)

**Final Statement of financial position as at 30 April 20X9*

<i>T. King: Statement of financial position as at 30 April 20X9</i>			
ASSETS	£	£	£
<i>Non-current assets</i>	Cost	Acc. Depn	WDV
Plant and machinery	<u>87,000</u>	<u>33,000</u>	<u>54,000</u>
<i>Current assets</i>			
Inventories			7,220
Trade receivables		15,200	
Less: Allowance for irrecoverable debts		<u>760</u>	14,440
Prepayments			600
Cash			<u>1,170</u>
			<u>23,430</u>
<i>Total assets</i>			<u><u>77,430</u></u>
OWNER'S CAPITAL AND LIABILITIES			
<i>Owner's capital</i>			
Opening balance			59,640
Add: Net profit			<u>10,570</u>
			<u>70,210</u>
Less: Drawings			<u>7,600</u>
<i>Closing balance</i>			<u><u>62,610</u></u>
<i>Current liabilities</i>			
Bank overdraft			1,540
Trade payables			12,700
Accruals			<u>580</u>
<i>Total current liabilities</i>			<u>14,820</u>
<i>Total capital and liabilities</i>			<u><u>77,430</u></u>

*Check the
Net profit*

Homework

- ▶ Review the content of this lecture
- ▶ Attempt the tutorial questions before your tutorial

Thanks for your listening

